

Invitation to Treat

Why a price or a display does not always amount to an offer

A shop displays a book for £15. A council writes that it may be willing to sell a house. Both communications concern possible transactions, but neither necessarily gives the recipient the power to create a contract simply by saying yes.

An **invitation to treat** invites offers or further negotiation. In this legal expression, **treat** means negotiate; it does not mean medical treatment or a gift. The distinction matters because an offer can be accepted, while an invitation usually calls for another step.

1 Offer, invitation and acceptance

An **offer** proposes sufficiently definite terms and shows a willingness to be bound if those terms are accepted. **Acceptance** is agreement to that offer. An invitation to treat may state a price or describe goods while leaving the final decision to the person who issued it.

ILLUSTRATIVE COMMUNICATION	WHAT IT SUGGESTS
"I offer to sell you this bicycle for £80. Reply by Friday to accept."	An offer, assuming the context supports a definite commitment.
"I may be willing to sell my bicycle for £80. Let me know if you want to discuss it."	An invitation to negotiate; the price alone does not establish an offer.

2 Read the whole communication

The court considers what a reasonable recipient would understand from the words, conduct and context. Ask whether agreement on the stated terms is enough, or whether a further decision, application or approval is still required.

A specific price is relevant, but not conclusive. Equally, calling a message an "offer" does not settle its legal effect if the rest of the message clearly reserves a further decision.

3 What the distinction does - and does not - decide

Accepting an invitation to treat does not, by itself, form a sale contract. The response may instead be an offer that the other party can accept or reject. A sale obligation generally follows only once a contract is formed.

An ordinary simple contract also generally requires consideration (something of value given or promised in exchange) and intention to create legal relations (an intention that the agreement carry legal obligations); some transactions require formalities. Separately, advertising and sales practices can be regulated even where no contract has yet formed. "Invitation to treat" does not mean that every legal rule disappears.

Gibson v Manchester City Council

[1979] UKHL 6; [1979] 1 WLR 294 · House of Lords

4 A letter about buying a council house

Mr Gibson was a tenant interested in buying his council house. The council's letter stated that it "may be prepared to sell" at a specified price and invited him to make a formal application. He submitted an application and later correspondence indicating that he wished to proceed.

In 1971, political control changed and the council stopped the sales policy, except where it was already contractually bound. Gibson claimed that a contract existed and sought specific performance of the sale.

5 The decision and who won

The House of Lords held that the council's letter was not an offer capable of acceptance. Its tentative wording and invitation to apply showed that another step was needed. Gibson's willingness to buy could not turn that letter into an offer.

Outcome: the council won its appeal. The earlier decision in Gibson's favour was overturned. Gibson could not compel the sale on the basis of the alleged contract because no binding agreement had been formed.

Specific performance is a court order requiring performance of a contractual obligation. Here the claimed contractual foundation for that remedy was missing.

6 Compare Gibson with Storer

In the earlier *Storer v Manchester City Council* case, the council's documents contained a definite commitment and directed the tenant to sign and return an agreement. The court found an offer and acceptance. These two cases illustrate why apparently similar housing negotiations can have different results.

QUESTION	GIBSON	STORER
What did the communication convey?	A possible sale and an invitation to apply.	A sufficiently definite commitment, accepted by signing and returning the agreement.
Was a contract found?	No.	Yes.
Who prevailed?	The council.	The tenant, Storer.

7 Apply the distinction

A university emails: "We may be prepared to sell the old piano for £500. Please submit an application." A student replies: "I accept." On these assumed facts, the tentative wording suggests an invitation. The student's reply does not, by itself, make the university contractually obliged to sell.

The Boots Self-Service Case

Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd [1953] 1 QB 401 · Court of Appeal

8 Why the moment of sale mattered

Boots used a self-service system. Customers selected goods from shelves and took them to a cashier. A registered pharmacist supervised the relevant transactions at the cash desk and could prevent a sale.

The Pharmacy and Poisons Act 1933 required sales of certain listed poisons to take place by or under the supervision of a registered pharmacist. The Pharmaceutical Society argued that the sale occurred when a customer selected an item, before the supervised stage at the till.

9 The decision and who won

The Court of Appeal held that the shelf display was an invitation to treat. The customer offered to buy at the cash desk; the shop accepted there under the pharmacist's supervision. Putting an item in a basket did not itself form a contract.

Outcome: Boots won. The Society's appeal was dismissed. The challenged system complied with the supervision requirement at issue, because the sale occurred at the supervised stage.

Lesson: identifying who makes the offer helps identify when the sale becomes binding. The decision did not require the pharmacist personally to operate the till.

10 Follow an ordinary shop purchase

STAGE	USUAL ENGLISH CONTRACT ANALYSIS
Goods displayed on a shelf	An invitation to treat.
Customer selects an item	Selection alone does not form a sale contract.
Customer presents it to buy	The customer makes an offer.
Shop accepts the purchase	A contract is formed at acceptance.

For example, a customer may put a notebook back on the shelf before offering to buy it. A displayed price alone does not normally force the retailer to sell at that price. Separate rules on misleading prices may nevertheless apply.

11 A useful reasoning exercise

Imagine a different model: the shelf display is an offer, but acceptance occurs only at the till. That model would also allow the customer to change their mind while browsing. It would not automatically mean that pharmacist supervision was absent. In *Boots*, however, the court adopted the invitation-to-treat analysis set out above.

Analysis and Legal English

12 A method for reading the transaction

Identify the alleged offer. Which words or conduct are relied on?

Check commitment. Is a further application or decision required?

Identify the response. Is it acceptance, or an offer made in reply to an invitation?

Find formation. Explain when any offer was accepted.

Separate the legal questions. Contract formation and compliance with a statute require their own analysis.

13 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Invitation to treat	An invitation to make offers or negotiate.
Offer / acceptance	A definite proposed bargain / agreement to that offer.
Tentative wording	Language suggesting a possibility rather than a final commitment.
Specific performance	A court order requiring performance of a contractual obligation.
Till / cash desk	The place where a shop processes purchases.
Statutory requirement	A requirement imposed by legislation.

14 Check your understanding

1. Does a stated price always make a communication an offer?
2. Why did Gibson's claim fail at the final appeal?
3. In *Boots*, who made the offer to buy?
4. Did putting a product in a basket itself form a contract?
5. Does "invitation to treat" mean that a retailer is exempt from other legal rules?

Answers: 1. No; read the commitment and context. 2. The council had made no offer capable of acceptance. 3. The customer, at the cash desk. 4. No. 5. No; separate statutory duties may apply.

Authorities and source material

Gibson v Manchester City Council [1979] UKHL 6: judgment. *Storer v Manchester City Council* [1974] 1 WLR 1403 is included for comparison.

Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd [1953] 1 QB 401: judgment record; reproduced law report.

Based on the supplied *Invitation to Treat - Contract Law* lesson. The cases discuss historical events and legislation; examples illustrate English contract formation.